

The Timeless Wisdom of Graham and Dodd

by Seth A. Klarman

The world of investments is one of unlimited choices, significant opportunity, and great rewards, as well as shifting landscapes, untold nuances, and serious perils. Against that backdrop, investors must weigh multiple and sometimes competing objectives: generating income, growing principal over time, protecting against loss and the ravages of inflation, and maintaining a degree of liquidity to provide future flexibility and meet unexpected needs. Finding the right balance is essential.

To do so, investors need a guidebook that offers them not a plan to succeed in a particular moment but rather a set of principles to steer them through any and all environments. In 1934, in the depths of the Great Depression, Benjamin Graham and his colleague, David Dodd, produced such a volume, *Security Analysis*, detailing how to sort through thousands of different common stocks, preferred issues, and bonds and identify those worthy of investment. Over the ensuing 90 years, during which it has remained consistently in print, *Security Analysis* has been crowned the bible of value investing. The stringing together of their very names—“Graham and Dodd”—has become synonymous with this sensible and timeless approach.

The sixth edition of *Security Analysis* was published in the middle of the worst financial crisis since Graham and Dodd’s time. The edition